Sample Questions

1. **Commission received from business forms part of income from ___________.**
   a. **Business and profession**
   b. Capital Gains
   c. Salary
   d. Other sources

2. **Long term capital gain from sale of shares is ____________________.**
   a. Taxed at 10%
   b. **Exempt from tax**
   c. Taxed at 20%
   d. Taxed at 15% with indexation

3. **The Rajiv Gandhi Equity Savings Scheme, 2012 allows exemption up to _______ for investments made in eligible securities up to Rs. 50,000.**
   a. 100%
   b. **50%**
   c. 40%
   d. 60%

4. **For a person to be qualified as a NRI, he must have stayed outside India for more than _____ days in a previous financial year.**
   a. 365
   b. 280
   c. **182**
   d. 150

CHAPTER 12: REGULATORY ENVIRONMENT AND ETHICAL ISSUES

12.1. Regulation for Investment Advisers

SEBI notified the SEBI (Investment Advisers) Regulation, 2013 in January 2013 with a view to regulate the activity of providing investment advisory services in various forms by independent financial advisors, distributors, banks, and other such entities. The said Regulations become effective from April 2013.

12.1.1. Definition and Requirement to Register

a. Certificate of registration

Any person who proposes to provide investment advice as defined under the regulations or who qualifies under the definition of "Investment Adviser" shall be required to obtain a registration certificate from SEBI in order to continue to do this activity. A six month period has been allowed for existing investment advisers to apply for certification. These investment advisers may continue to provide advisory services till their application is processed. The certificate of registration granted by SEBI is valid for a period of five years from the date of its issue. An investment adviser needs to apply for renewal of his registration certificate, three months before expiry of the original certificate of registration.

b. Investment advice and Investment adviser

The term "investment advice" has been specifically defined under the regulations. It means any form of advice provided in relation to investment, purchase, sale or dealing in securities or investment products. It also includes advice on a portfolio of securities or investment products and financial planning. Such advice may be provided as a written advice or an oral recommendation or through any other mode such as email aimed at the benefit of the client. However, advice that is widely available to the public through newspapers or internet or magazines is not considered as investment advice under the regulations.

12.1.2 Exemptions

Any person who provides investment advice to his clients is known as an investment adviser. However, the investment adviser regulations have exempted certain categories of persons from the requirement of registration. These include:

- Any person who gives general comments on financial trends, economic situation which is not stock/product specific.
- Insurance agents or brokers providing investment advice only in insurance products,
- Pension advisors offering investment advice only on pension products,
- Mutual fund distributor, who provides investment advice incidental to distribution of mutual fund products

- Advocates, Solicitors, member of Institute of Chartered Accountants of India, member of Institute of Company Secretaries of India, Institute of Cost and Works Accountants of India, Actuarial Society of India or any other professional body providing investment advice incidental to their professional service.
- Stock broker or sub-broker, portfolio manager registered under SEBI (Portfolio Manager) Regulations, 1993, merchant banker providing investment advice incidental to their primary activity.
- Fund managers of mutual funds, alternative investment funds.
- A person providing investment advice only to clients based out of India, not being Non Resident Indians or Persons of Indian Origin.

12.1.3 Qualification &Certification Requirements and Capital Requirement

a. Qualifications: The Regulations specify certain minimum qualifications for a person to be eligible to be known as an investment adviser. If an individual seeks registration as an investment adviser, or a partner or representative of an investment adviser registered under the Regulations must possess these qualifications.

- A professional qualification or a post graduate degree or post graduate diploma in finance, accountancy, business management, commerce, economics, capital market, banking, insurance or actuarial science from a university or an institution recognized by the central government or any state government or a recognised foreign university or institution or association OR
- A graduate in any discipline with an experience of at least five years in activities relating to advice in financial products or securities or fund or asset or portfolio management.

b. Certification Requirement: An investment adviser must obtain valid certification on financial planning or fund or asset or portfolio management or investment advisory services from NISM or from any other organization or institution including Financial Planning Standards Board India or any recognized stock exchange in India provided that such certification is accredited by NISM.

Existing investment advisers seeking registration must ensure that their partners and representatives obtain such certification within two years from the date of commencement of the Regulations.

c. Capital Requirement

In order to ensure financial stability of an investment adviser, the Regulations have mandated that investment advisers must have net worth above a minimum threshold at all times. For investment advisers which are body corporate, net worth of not less than Rupees Twenty Five Lakhs has been stipulated rupees. Investment advisers who are individuals or partnership firms shall have net tangible assets of value not less than Rupees One Lakh.

Investment advisers in existence before commencement of the Regulations must comply with the capital adequacy requirement within one year from the date of commencement.

12.1.4 Obligations and Responsibilities of Investment Advisers

a. General Obligations

The nature of service that is provided by investment advisers is directly related to the financial situation of their clients. The relationship between the investment adviser and client is that of trust and the investment adviser, while performing his role, should act in good faith in the best interests of the client. The Investment Adviser Regulations have cast upon investment advisers certain obligations and responsibilities while providing investment advisory services.

- **Conflicts of interest:** It is imperative that the investment adviser discloses all conflicts of interest to the client as and when they arise.
- **Only advisory income:** An investment adviser must not receive any consideration or remuneration from anyone except the client in respect of securities or investment products for which he has provided advice.
- **Segregation of other activities:** There must be segregation of other business activities from investment advisory activity of the investment advisor. An arm's length relationship must be maintained between investment advisory activity and such other activities. If a conflict of interest arises, the same shall be disclosed to the client.
- **Confidentiality:** The investment adviser must maintain strict confidentiality with respect to the information received from the client.
- **Own transactions:** The investment adviser should not carry out transaction contrary to his advice to clients on his own account unless 15 days have passed from the date of providing the advice. However, during the 15 day period, if in the opinion of the adviser the situation has changed, he should first make a revised assessment to client at least 24 hours before carrying out such a transaction. An advisor must also not act on its own account, knowingly to sell securities or investment products to or purchase securities or investment product from a client.
- **KYC compliance:** An investment advisor shall follow Know Your Client procedure as specified by SEBI from time to time.
- **Code of Conduct:** An investment adviser must abide by the Code of Conduct as specified in Third Schedule of the Investment Adviser Regulations.
- **Reporting to SEBI:** The investment adviser must file periodic reports or information to SEBI as may be required from time to time and take prior approval from SEBI if there is a change in control of the investment adviser.

- **Certification and Qualification:** It shall be the responsibility of the Investment Adviser to ensure that its representatives and partners comply with the certification and qualification requirements stipulated by the Investment Adviser Regulations at all times.

There are specific areas in which an investment adviser needs to put systems and procedures in place in order to comply with the responsibilities cast by the Regulations.

b. Risk Profiling

The investment advice and asset allocation for an investor would have to be customized to the ability and willingness of the investor to assume risk. This is determined by a risk profiling exercise, which seeks to assess the attitude towards risk and possible loss in the portfolio and the willingness to pursue an investment plan, after understanding the underlying risks.

- **Information:** It is the responsibility of the investment adviser to ensure that he obtains from the client, such information as is necessary for the purpose of giving investment advice. This information includes age, investment objective, investment horizon, income details, existing assets and liabilities and risk appetite. Information provided by clients and their risk assessment must be updated periodically.
- **Risk assessment:** There must be a process in place for assessing the risk that a client is willing and able to take. Risk profile of the client must be communicated to the client after risk assessment completed. Risk assessment includes the following aspects:
    1. Assessing a client’s capacity for absorbing loss;
    2. Identifying whether client is unwilling or unable to accept the risk of loss of capital;
    3. Appropriately interpreting client responses to questions and not attributing inappropriate weight to certain answers.
- **Risk profiling tools:** The investment adviser may use various tools such as surveys, questionnaires, proprietary tools to generate risk appetite scores of clients. Where such tools are used for risk profiling, the investment adviser must ensure that the tools are fit for the purpose and any limitations have been identified and mitigated. Such tools should not be too complex or misleading for the client to understand and express a fair opinion.

c. Suitability

It is the responsibility of the Investment adviser to ensure the following:

- Investment advice and related investments are appropriate to the client’s risk profile.

- The adviser has a documented process for selecting investments based on client's investment objectives and financial situation.
- The adviser must understand the nature and risks of products or assets selected for clients.
- The adviser must have a reasonable basis for believing that a recommendation or transaction entered into:
    a. meets the client's investment objectives;
    b. is such that the client is able to bear any related investment risks consistent with its investment objectives and risk tolerance;
    c. is such that the client has the necessary experience and knowledge to understand the risks involved in the transaction.
- When an advice or recommendation is given to a client to purchase a complex financial product, such a recommendation or advice must be based upon a reasonable assessment that the structure and risk reward profile of financial product is consistent with clients experience, knowledge, investment objectives, risk appetite and capacity for absorbing loss.

d. Disclosures to Clients

It is the responsibility of the Investment Adviser to make certain disclosures to the client in order for the client to take an informed decision whether or not to avail its services. These disclosures include the following:

- Material information about the adviser, the business, history, terms and conditions, affiliations with other intermediaries.
- Consideration received/receivable by it or any of its associates from any distribution or execution services for securities or products for which investment advice is provided.
- Any consideration receivable by investment adviser on recommendation of a stock broker or other intermediary to the client if the client decides to avail services of such entity.
- Own holdings in respect of products or securities that are subject matter of advice.
- Actual or potential conflicts of interest with issuer of product/security.
- Material facts relating to key features of the products/securities, its performance track record, warnings and disclaimers, and advertising material.

e. Record Maintenance

An investment adviser is required to maintain the following records in physical or electronic format for a minimum period of five years:

- Know Your Client records of the client;
- Risk profiling and risk assessment of the client;
- Suitability assessment of the advice being provided;

- Copies of agreements with clients, if any;
- Investment advice provided, whether written or oral;
- Rationale for arriving at investment advice, duly signed and dated;
- A register or record containing list of the clients, the date of advice, nature of the advice, products / securities in which advice was rendered and fee, if any charged for such advice.

The adviser must conduct yearly audit in respect of compliance with regulatory requirements from a member of Institute of Chartered Accountants of India or Institute of Company Secretaries of India.

f. Segregation of execution services

Investment advisers which are banks, NBFCs and body corporate providing distribution or execution services to their clients must keep their investment advisory services segregated from such activities. Distribution or execution services can only be offered subject to the following:

- The client is not under any obligation to avail the distribution or execution services offered by the investment adviser.
- The investment adviser maintains arms-length relationship between its activities as investment adviser and distribution or execution services.
- All fees and charges paid to distribution or execution service providers by the client are paid directly to the service providers and not through the investment adviser.

g. Other responsibilities

- A compliance officer must be appointed by an investment adviser which is a body corporate or a partnership firm for monitoring the compliance by the investment adviser in respect of the requirements of the SEBI Act, Regulations and notifications issued from time to time.
- The investment adviser must have an adequate client grievance redressal mechanism and should redress client grievances promptly.

12.1.5 Code of Conduct for Investment Adviser

The SEBI (Investment Advisers) Regulations, 2013 has set out a code of conduct to be followed by all Investment Advisers at all times. The provisions of this code of conduct state as follows:

I. **Honesty and fairness**

An investment adviser shall act honestly, fairly and in the best interests of its clients and in the integrity of the market.

II. Diligence

An investment adviser shall act with due skill, care and diligence in the best interests of its clients and shall ensure that its advice is offered after thorough analysis and taking into account available alternatives.

III. Capabilities

An investment adviser shall have and employ effectively appropriate resources and procedures which are needed for the efficient performance of its business activities.

IV. Information about clients

An investment adviser shall seek from its clients, information about their financial situation, investment experience and investment objectives relevant to the services to be provided and maintain confidentiality of such information.

V. Information to its clients

An investment adviser shall make adequate disclosures of relevant material information while dealing with its clients.

VI. Fair and reasonable charges

An investment adviser advising a client may charge fees, subject to any ceiling as may be specified by the Board, if any. The investment adviser shall ensure that fees charged to the clients are fair and reasonable.

VII. Conflicts of interest

An investment adviser shall try to avoid conflicts of interest as far as possible and when they cannot be avoided, it shall ensure that appropriate disclosures are made to the clients and that the clients are fairly treated.

VIII. Compliance

An investment adviser including its representative(s) shall comply with all regulatory requirements applicable to the conduct of its business activities so as to promote the best interests of clients and the integrity of the market.

IX. Responsibility of senior management

The senior management of a body corporate which is registered as investment adviser shall bear primary responsibility for ensuring the maintenance of appropriate standards of conduct and adherence to proper procedures by the body corporate.

12.2. Regulatory System and Environment

Regulation of the Securities Markets is motivated by the need to safeguard the interests of investors. What is paramount is to ensure that investors make informed decisions about their financial transactions on the basis of a fair understanding of various markets which enable such financial transactions. This implies that the entities issuing securities and units ought to furnish adequate disclosures on all relevant facts and the intermediaries selling/advising/distributing such products execute the financial transactions in the most efficient manner while charging a fair and appropriate cost of transaction.

There are many other issues, which warrant regulation. For example, deliberately engineered speculative activities in the stock market or insider trading are undesirable as they can hurt investors at large. Similarly, some mutual funds may take excessive risks, while some issuers of debt securities may not care to provide adequate collateral. These are many instances of unethical activities which can be detrimental to investors in general. These, if allowed to go unchecked, will lead to a drying up of investment activity, which is the lifeblood of capital formation in any economy.

The idea of regulating an industry is to optimize the benefits for all its stakeholders and at the same time protecting the interests of the consumers. The financial sector in India is regulated by several regulatory authorities. The Central Government has created separate entities to regulate different sectors of the financial system.

The Reserve Bank of India (RBI) regulates commercial banks, the Securities and Exchange Board of India (SEBI) regulates securities markets and is responsible for its orderly growth and protection of investors' interests, the Insurance Regulatory and Development Authority (IRDA) regulates insurance companies, the Pension Fund Regulatory and Development Authority (PFRDA) regulates the pension sector, while the Forward Markets Commission (FMC) regulates the commodities futures sector. The Central Government exercises a certain level of oversight on these and other regulatory institutions.

Additionally, intermediaries representing some segment of the securities markets may form a Self-Regulatory Organization (SRO). For recognition as an SRO by SEBI, certain conditions have to be met as spelt out under the Securities and Exchange Board of India (Self Regulatory Organizations) Regulations, 2004. Ideally, an SRO will seek to uphold investors' interest by laying and maintaining high ethical and professional standards of conduct and encouraging best practices among its members.

The ruling given by a regulator may be challenged by petitioning the prescribed authority. In the case of SEBI, for example, the appellate authority is the Securities Appellate Tribunal (SAT). Rulings of the SAT can be challenged in the Supreme Court of India. Importantly, no civil court shall entertain any suit or proceeding relating to a matter which an adjudicating officer appointed under the SEBI Act, or under a duly constituted SAT, is empowered under the said Act to decide upon. Further, no injunction can be granted by any court or any other authority with regard to any action taken or to be taken pursuant to any power conferred by the SEBI Act.

12.3. Role of Regulators

12.3.1 Ministry of Finance and its Departments

The Ministry of Finance (MoF) has a wide range of responsibilities. It has five departments under it, whose roles are briefly described below:

a) **Department of Economic Affairs** is the nodal agency of the Central Government to formulate and monitor India's macroeconomic policies, covering monetary and fiscal policy as well as the functioning of the Capital Market including stock exchanges. Other responsibilities include the mobilization of external resources and issuance of bank notes and coins.

b) **Department of Expenditure** is concerned with, among other things, the administration of various financial rules and regulations including service conditions of all Central Government employees. The department is also involved with matters such as financial assistance to states and borrowings by states.

c) **Department of Revenue** exercises control over matters relating to direct and indirect taxes of the Central Government, through two statutory boards, viz., the Central Board of Direct Taxes and Central Board of Excise and Customs.

d) **Department of Financial Services** administers government policies relating to:
   - Public sector banks.
   - Term-lending financial institutions.
   - Life Insurance and General Insurance.
   - Pension Reforms.

e) **Department of Disinvestment oversees,** among other things, all matters relating to the disinvestment of Central Government equity from Central Public Sector undertakings. The department is also concerned with the financial policy relating to the utilization of proceeds of disinvestment.

12.3.2 The Ministry of Corporate Affairs

It is mainly concerned with the administration of the Companies Act, 2013 and other allied acts, rules and regulations pertaining to the corporate sector. The Ministry is also responsible for administering the Competition Act 2002 which is to replace the Monopolies and Restrictive Trade Practices Act, 1969. The Ministry also supervises three professional bodies, viz., the Institute of Chartered Accountants of India, the Institute of Company

Secretaries of India and the Institute of Cost and Works Accountants of India. The Ministry of Corporate Affairs is also vested with the responsibility of administering the Partnership Act, 1932, the Companies (Donations to National Funds) Act, 1951 and Societies Registration Act, 1980.

12.3.3 Role of Regulators

Besides the Ministry of Finance, the financial sector in India is regulated by several regulatory organizations. The Reserve Bank of India (RBI) as the manager of Public debt, is responsible for the primary issue of Government securities, all contracts involving such securities and money market instruments The Securities Exchange Board of India (SEBI), is the apex regulator of the securities market and also responsible for its orderly growth and protection of the investor's interests. Other regulators such as the Insurance Regulatory Development Authority (IRDA) and the Pension Fund Regulatory and Development Authority (PFRDA) have been set up with the specific mandate to regulate the functioning and growth of particular industries.

a. Reserve Bank of India (RBI)

RBI is the central bank of the country and is vested with the responsibility of administering the monetary policy. Therefore, its key concern is to ensure the adequate growth of money supply in the economy so that economic growth and financial transactions are facilitated, but not so rapidly which may precipitate inflationary trends. This is borne out in its Preamble, in which the basic functions of the Bank are thus defined: "…to regulate the issue of Bank Notes and keeping of reserves with a view to securing monetary stability in India and generally to operate the currency and credit system of the country to its advantage". In addition to the primary responsibility of administering India's monetary policy, RBI has other onerous responsibilities, such as financial supervision.

RBI's functions are governed by the Reserve Bank of India Act 1934, whereas the financial sector is governed by the Banking Regulation Act 1949. The main functions of RBI are:

1. **As the monetary authority**: To formulate, implement and monitor the monetary policy in a manner as to maintain price stability while ensuring an adequate flow of credit to productive sectors of the economy.

2. **As the regulator and supervisor of the financial system**: To prescribe broad parameters of banking operations within which India's banking and financial system functions. The objective here is to maintain public confidence in the system, protect depositors' interest and facilitate cost-effective banking services to the public.

3. **As the manager of Foreign Exchange**: To administer the Foreign Exchange Management Act 1999, in a manner as to facilitate external trade and payment and promote orderly development and maintenance of the foreign exchange market in India.

4. **As the issuer of currency**: To issue currency and coins and to exchange or destroy the same when not fit for circulation. The objective that guides RBI here is to ensure the circulation of an adequate quantity of currency notes and coins of good quality.

5. **Developmental role**: To perform a wide range of promotional functions to support national objectives.

6. **Banking functions**:

   a) It acts as a banker to the Government and manages issuances of Central and State Government Securities.

   b) It acts as a banker to the banks by maintaining the banking accounts of all scheduled banks.

The general superintendence and direction of RBI’s affairs are looked after by a Central Board of Directors (BoD) which is appointed by the Government of India. Further, each of the four regions in the country is served by a Local Board which advises the Central Board on local issues and represents territorial and economic interests of local co-operative and indigenous banks. The Local Boards will also perform other functions as delegated by the Central Board.

RBI performs the important function of financial supervision under the guidance of the **Board for Financial Supervision** (BFS) which was constituted in 1994 as a committee of the Central Board of Directors. The primary objective of the BFS is to carry out consolidated supervision of the financial sector consisting of commercial banks, financial institutions and non-banking finance companies. The BFS oversees the functioning of the Department of Banking Supervision, the Department of Non-Banking Supervision and Financial Institutions Division and issues directions on regulatory and supervisory issues.

b. Securities and Exchange Board of India (SEBI)

The Securities and Exchange Board of India (SEBI), a statutory body appointed by an Act of Parliament (SEBI Act, 1992), is the chief regulator of securities markets in India. The Preamble of the Securities and Exchange Board of India describes the basic functions of the Securities and Exchange Board of India as "...to protect the interests of investors in securities and to promote the development of, and to regulate the securities market and for matters connected therewith or incidental thereto".

SEBI regulates capital market intermediaries such as stock exchanges, brokers, trustees of trust deeds, merchant bankers, bankers to an issue, underwriters, portfolio managers, mutual funds, depositories, depository participants, venture capital funds, and alternative investment funds, Foreign Institutional Investors, custodians and Registrars & Transfer agents in the country. Market intermediaries are regulated by SEBI by prescribing registration norms for intermediaries, issue of regulations, notifications and circulars from time to time for compliance by the intermediaries, calling for information from the intermediaries, carrying out inspections, and taking action against non-compliance.

The website of SEBI (www.sebi.gov.in) holds updated and comprehensive list of regulations, rules, circulars and notifications issued there under by SEBI. A useful download is a Master Circular, which captures the essence of various circulars issued for a calendar year.

Functions of SEBI

The SEBI Act, 1992 spells out the functions that SEBI shall perform. These include the following:

- **Regulating and registration:** SEBI regulates the business in stock exchanges and other securities markets. It registers and regulates the working of intermediaries associated with the securities market such as stock brokers, sub-brokers, share transfer agents, bankers to an issue, trustees of trust deeds, registrars to an issue, merchant bankers, underwriters, portfolio managers, investment advisers depositories, participants, custodians of securities, foreign institutional investors, credit rating agencies, venture capital funds, collective investment schemes, mutual funds and such other intermediaries as may be specified by SEBI. SEBI is also involved in promoting and regulating self-regulatory organisations. The Regulations specify the net worth, experience, infrastructure and other requirements necessary for an intermediary to be eligible for registration.
- **Prohibition of unfair trade practices:** An important function of SEBI is to prohibit fraudulent and unfair trade practices relating to securities markets. SEBI also prohibits insider trading in securities which is detrimental to the interests of the investors. Insider trading refers to the dealing in securities by persons connected with a company having material information that is not available to the public. Such persons include the directors and employees of the company, associates such as bankers and tax consultants or government employees who get sensitive information. The SEBI (Prohibition of Insider Trading Regulations), 1992 seeks to prevent insider trading which erodes the confidence of the common investor in the securities markets. SEBI's guidelines require companies to have comprehensive code of conduct to prevent such activity. This includes appointing a compliance officer to enforce it, ensuring periodic disclosure of holding by all persons considered as insiders and ensuring data confidentiality and adherence to the requirements of the listing agreement on flow of price sensitive information. If an insider trading charge is proved pursuant to SEBI's investigation, the penalties include monetary penalties, criminal prosecution, prohibiting persons from securities markets and declaring transactions as void.
- **Conduct inquiries/inspections:** If SEBI is of the opinion that some intermediary is involved in such activities, or is not complying with the SEBI Regulations, it has the

power to call for information, undertake inspection, conduct inquiries and audits, summon witnesses from such intermediaries. SEBI can take any of the following measures in the interest of investors:

- Suspend the trading of any security in a recognized stock exchange;
- Restrain persons from accessing the securities market and prohibit any person associated with securities market to buy, sell or deal in securities;
- Suspend any office-bearer of any stock exchange or self- regulatory organization from holding such position;
- Impound and retain the proceeds or securities in respect of any transaction which is under investigation;
- Attach, after passing of an order on an application made for approval by the Judicial Magistrate of the first class having jurisdiction, for a period not exceeding one month, one or more bank account or accounts of any intermediary or any person involved;
- Direct any intermediary or any person associated with the securities market in any manner not to dispose of or alienate an asset forming part of any transaction which is under investigation:

- SEBI is also involved in promoting investor education and training of intermediaries of securities markets.
- SEBI regulates substantial acquisition of shares and take-over of companies.

c. Insurance Regulatory and Development Authority (IRDA)

IRDA’s mission is to regulate, promote and ensure orderly growth of the insurance sector, including the re-insurance business, while ensuring protection of the interests of insurance policyholders. IRDA was constituted by an act of parliament and according to Section 4 of the IRDA Act 1999 the Authority comprises ten members who are all government appointees.

The powers and functions of the authority include the following:

- Issuing a certificate of registration or renewing, modifying, withdrawing, suspending or cancelling such registration.
- Protecting the interests of policyholders in matters relating to assignment of policy, nomination by policyholders, insurable interest, settlement of insurance claim, surrender value of policy and other clauses of insurance contracts.
- Spelling out the required qualifications, code of conduct and practical training for intermediaries including insurance intermediaries and agents.
- Specifying the code of conduct for surveyors and loss assessors.
- Seeking information, undertaking inspection, conducting inquiries and investigations including audit of the insurer, intermediaries and others.

- To control and regulate the rates and terms and conditions that may be offered by insurers with regard to general insurance, which are not covered by the Tariff Advisory Committee.
- Regulating the investment of funds by insurance companies.

d. Pension Fund Regulatory and Development Authority (PFRDA)

The PFRDA is the authority entrusted with the following responsibilities under the PFRDA Act, 2013:

- To promote old age income security by establishing, developing and regulating pension funds
- To protect the interests of subscribers to schemes of pension funds and related matters

The Act and its provisions apply to the National Pension System (NPS) and other pension schemes not regulated by any other enactment. The NPS will be based on defined contributions. It will also offer a menu of investment choices and Fund Managers. Though the new system is voluntary, it would be mandatory for new recruits to the Central Government, except the armed forces. It will also be available on a voluntary basis to all persons including self-employed professionals and others in the unorganized sector. However, mandatory programmes under the Employees Provident Fund Organization and other special provident funds will continue to operate according to the existing system, under the Employees Provident Fund and Miscellaneous Provisions Act 1952 and other special acts governing these funds.

The functions and responsibilities of the PFRDA under the Act include:

- Regulating the National Pension System and any other pension schemes to which the act applies
- Approving the schemes and their terms and investment guidelines to manage the corpus
- Registering and regulating intermediaries
- Protecting the interests of the subscribers by ensuring the funds are managed according to the mandate received, costs of management are reasonable and establishing a mechanism for redressal.
- Educating subscribers and the general public on matters relating to retirement savings

The PFRDA shall have search and seizure powers to investigate any instance of contravention of the provisions of the Act. The Act gives the PFRDA the authority to ensure compliance of intermediaries and others associated with the scheme, and if found to be in violation impose penalties and other corrective measures. The PFRDA will be subject to the directions of the Central Government on all matters of policy. It shall also submit periodical reports on various aspects of its functioning, the pension sector, and other matters required by the government.

12.4. Role of Self-Regulatory Organizations (SRO)

An SRO is a regulatory authority of an industry, appointed by the regulator to perform specific functions. SRO in India is governed by the SEBI (Self Regulatory Organizations) Regulations, 2004. An SRO is an organization of intermediaries which represents a particular segment of the securities market and which is duly recognized by SEBI.

In the developed world, it is common for market players to create Self-Regulatory Organizations, whose prime responsibility is to regulate their own members. Wherever SROs exist, the statutory regulatory bodies set up by the Government (like SEBI in India) only lay down the broad policy framework, and leave the micro-regulation to the SRO. For example, stock exchanges perform some of the regulatory functions on behalf of SEBI. The mutual fund industry does not have an SRO, yet. The Institute of Chartered Accountants of India (ICAI) regulates its own members.

An amendment to the Regulations in January 2013 has brought within its purview, an SRO formed by distributors of mutual funds and portfolio management services.

An SRO needs to be registered and recognized by SEBI after following a registration process that lays down norms for professional competence of the Board, infrastructure and capital requirements. The SRO Regulations lay down certain obligations and responsibilities on SROs. An SRO must always abide by the directions of the SEBI and act in the best interest of investors. It is responsible for specifying a code of conduct for its members and ensuring implementation of the same. The SRO can also conduct inspection and audit of its members. It is bound to report any violations or non-compliance by any of its members to SEBI. The SRO conducts screening, certification tests and training programmes for its members and endeavours to promote best business practices amongst its members.

12.5. Prevention of Money-Laundering Act, 2002

Money laundering involves disguising financial assets so that they can be used without detection of the illegal activity that produced them. Through money laundering, the launderer transforms the monetary proceeds derived from criminal activity into funds with an apparently legal source.

The Prevention of Money-Laundering Act, 2002 (PMLA), is an act to prevent money-laundering and to provide for confiscation of property derived from, or involved in, money-laundering and for related matters. Chapter II, section 3 describes the offence of money-laundering thus: Whoever directly or indirectly attempts to indulge, or knowingly assists or knowingly is a party or is actually involved, in any process or activity connected with the proceeds of crime and projecting it as untainted property shall be guilty of the offence of money-laundering.

Section 12 of PMLA stipulates that every banking company, financial institution and intermediary shall maintain a record of all transactions, the nature and value of which may be prescribed, whether such transactions comprise a single transaction or a series of transactions integrally connected to each other, and where such series of transactions take place within a month and furnish information of transactions and verify and maintain the records of the identity of all its clients.

Provided that where the principal officer of a banking company or financial institution or intermediary, as the case may be, has reason to believe that a single transaction or series of transactions integrally connected to each other have been valued below the prescribed value so as to defeat the provisions of this section, such officer shall furnish information in respect of such transactions to the Director within the prescribed time.

The records shall be maintained for a period of ten years from the date of cessation of the transactions between the clients and the banking company or financial institution or intermediary, as the case may be.

The offence of money laundering is punishable with rigorous imprisonment for a term which shall not be less than 3 years but which may extend to 7 years and shall also be liable to fine, which may extend to Rs.5 lakhs.

Anti Money Laundering (AML) Measures

There are several ways to check money laundering. Given below are some of the measures that a stock broking firm can adopt for anti money laundering:

- Organizing training programs on anti money laundering for the staff , especially personnel engaged in KYC, settlement, demat and account opening process
- Verifying documents of clients during the account opening process
- Personally interviewing clients who have declared wealth above Rs.10 lakhs or intend to trade (intraday) above Rs.2 crore in a month or who have given initial margin of Rs.4 to 5 lakhs and above in the form of monies or securities
- Interviewing clients who are NRIs or corporate/trust who promote NRIs
- Gauging the risk appetite of the client, as it helps in finding out any suspicious trading or transactions in the future
- Scrutinizing documents including income documents of the employee involved in maintaining and updating critical information about the transactions of the client and also of the employees who facilitate transactions of the clients like dealers, settlement officers.

12.6. Code of Conduct and Ethics

1. Securities and Exchange Board of India (Intermediaries) Regulations, 2008

<u>Excerpts from the Code of Conduct</u>

I. **Investor Protection**

a. Investors/Clients

Every intermediary shall make all efforts to protect the interests of investors and shall render the best possible advice to its clients having regard to the client's needs and the environments and his own professional skills.

b. High Standards of Service

An intermediary shall ensure that it and its key management personnel, employees, contractors and agents, shall in the conduct of their business, observe high standards of integrity, dignity, fairness, ethics and professionalism and all Professional dealings shall be affected in a prompt, effective and efficient manner. An intermediary shall be responsible for the acts or omissions of its employees and agents in respect to the conduct of its business.

c. Exercise of Due Diligence and no Collusion

An intermediary shall at all times render high standard s of service, exercise due skill and diligence over persons employed or appointed by it, ensure proper care and exercise independent professional judgment and shall not at any time act in collusion with other intermediaries in a manner that is detrimental to the investor(s).

d. Fees

An intermediary shall not increase charges/ fees for the services rendered without proper advance notice to its clients/investors.

II. Disbursal of Amounts

An intermediary shall be prompt in disbursing dividends, interests or any such accrual income received or collected by it on behalf of its clients/investors.

III. Disbursal of Information

- An intermediary shall ensure that adequate disclosures are made to the clients/investors in a comprehensible and timely manner so as to enable them to make a balanced and informed decision.
- An intermediary shall not make any misrepresentation and ensure that the information provided to the clients/investors is not misleading.

- An intermediary shall not make any exaggerated statement whether oral or written to the client/investor, either about its qualification or capability to render certain services or its achievements in regard to services rendered to other clients/investors.
- An intermediary shall not divulge to anybody, either orally or in writing, directly or indirectly, any confidential information about its clients/investors, which has come to its knowledge, without taking prior permission of its clients/investors except where such disclosures are required to be made in compliance with any law for the time being in force.

2. AMFI Code of conduct - Code of Conduct for Intermediaries of Mutual Funds

The AMFI code of conduct prescribes the following for the intermediaries in the mutual fund industry in the conduct of their business.

1. Consider investor's interest as paramount and take necessary steps to ensure that the investor's interest is protected in all circumstances.
2. Adhere to SEBI Mutual Fund Regulations and guidelines issued from time to time related to distributors, selling, distribution and advertising practices. Be fully conversant with the key provisions of the Scheme Information Document (SID), Statement of Additional Information (SAI) and Key Information Memorandum (KIM) as well as the operational requirements of various schemes.
3. Comply with SEBI guidelines / requirements issued from time to time in preparation of sales, promotional or any other literature about any schemes. Performance disclosures should also comply with the requirements specified by SEBI. Provide full and latest information of schemes to investors in the form of SAI, SID, addenda, performance reports, fact sheets, portfolio disclosures and brochures; and recommend schemes appropriate for the investor's risk profile and needs.
4. Highlight risk factors of each scheme, desist from misrepresentation and exaggeration and urge investors to go through SAI / SID/ KIM before deciding to make investments.
5. Disclose to the investors all material information including all the commissions (in the form of trail or any other mode) received for the different competing schemes of various Mutual Funds from amongst which the scheme is being recommended to the investors.
6. Abstain from indicating or assuring returns in any type of scheme, unless the SID is explicit in this regard.
7. Maintain necessary infrastructure to support the AMCs in maintaining high service standards to investors, and ensure that critical operations such as forwarding forms and cheques to AMCs/registrars and despatch of statement of account and redemption cheques to investors are done within the time frame prescribed in the SID/SAI and SEBI's Mutual Fund Regulations.

8. Desist from colluding with investors in faulty business practices such as bouncing of cheques, wrong claiming of dividend/redemption cheques, splitting of applications in the schemes to circumvent regulations for any benefit, etc.
9. Abstain from commission driven malpractices such as:
    - recommending inappropriate products solely because the intermediary is getting higher commissions there from.
    - encouraging over transacting and churning of Mutual Fund investments to earn higher commissions.
    - Splitting of applications to earn higher transaction charges / commissions.

10. Abstain from making negative statements about any AMC or scheme and ensure that comparisons, if any, are made with similar and comparable products along with complete facts.
11. Intermediaries shall keep themselves abreast with the developments relating to the Mutual Fund Industry as also changes in the scheme information and information on mutual fund / AMC like changes in fundamental attributes, changes in controlling interest, loads, liquidity provisions, and other material aspects and deal with the investors appropriately having regard to the up to date information.
12. Maintain confidentiality of all investor details, deals and transactions.
13. Intermediaries shall keep investor's interest and suitability to their financial needs as paramount and that extra commission or incentive should never form the basis for recommending a scheme to the investor.
14. Intermediaries shall not rebate commission back to investors and abstain from attracting investors through temptation of rebate/gifts etc.
15. To protect the investors from potential fraudulent activities, intermediary should take reasonable steps to ensure that the investor's address and contact details filled in the mutual fund application form are investor's own details, and not of any third party. Where the required information is not available in the application form, intermediary should make reasonable efforts to obtain accurate and updated information from the investor. Intermediaries should abstain from filling wrong / incorrect information or information of their own or of their employees, officials or agents as the investor's address and contact details in the application form, even if requested by the investor to do so. Intermediary should abstain from tampering in any way with the application form submitted by the investor, including inserting, deleting or modifying any information in the application form provided by the investor.

    16. Intermediaries, including the sales personnel of intermediaries engaged in sales / marketing, shall obtain NISM certification and register themselves with AMFI and obtain an Employee Unique Identification Number (EUIN) from AMFI apart from AMFI Registration Number (ARN). The Intermediaries shall ensure that the employees quote the EUIN in the application form for investments. The NISM certification and AMFI

registration shall be renewed on timely basis. Employees in other functional areas should also be encouraged to obtain the same certification.

17. Intermediaries shall comply with the Know Your Distributor (KYD) norms issued by AMFI.
18. Co-operate with and provide support to AMCs, AMFI, competent regulatory authorities, due diligence agencies (as applicable) in relation to the activities of the intermediary, or any regulatory requirement and matters connected thereto.
19. Provide all documents of its investors in terms of the Anti-Money Laundering / Combating Financing of Terrorism requirements, including KYC documents / Power of Attorney / investor's agreement(s), etc. with Intermediaries as may be required by AMCs from time to time.
20. Be diligent in attesting / certifying investor documents and performing In Person Verification (IPV) of investor's for the KYC process in accordance with the guidelines prescribed by AMFI / KYC Registration Agency (KRA) from time to time.
21. Adhere to AMFI guidelines and Code of Conduct issued from time to time related to distributors, selling, distribution and advertising practices.
22. Intimate the AMC and AMFI any changes in the intermediary's status, constitution, address, contact details or any other information provided at the time of obtaining AMFI Registration.
23. Observe high standards of ethics, integrity and fairness in all its dealings with all parties – investors, Mutual Funds/ AMCs, Registrars & Transfer Agents and other intermediaries. Render at all times high standards of service, exercise due diligence, and ensure proper care.
24. Intermediaries satisfying the criteria specified by SEBI for due diligence exercise, shall maintain the requisite documentation in respect of the "Advisory" or "Execution Only" services provided by them to the investors.
25. Intermediaries shall refund to AMCs, either by set off against future commissions or payment, all incentives of any nature, including commissions received, that are subject to claw-back as per SEBI Regulations or the terms and conditions issued by respective AMC.
26. In respect of purchases into any fund with effect from January 1, 2013, in the event of any switches from Regular Plan (Broker Plan) to Direct Plan, all upfront commissions paid to distributors shall be liable to complete and / or proportionate clawback.
27. Do not indulge in fraudulent or unfair trade practices of any kind while selling units of schemes of any mutual fund. Selling of units of schemes of any mutual fund by any intermediary directly or indirectly by making false or misleading statement, concealing or omitting material facts of the scheme, concealing the associated risk factors of the schemes or not taking reasonable care to ensure suitability of the scheme to the investor will be construed as fraudulent / unfair trade practice.

Note: SID should be read in conjunction with SAI, and not in isolation.

Norms by SEBI

Over the last few years, SEBI has been introducing new regulations and procedures to comply with various regulatory requirements as well as those laid down under the Prevention of Money Laundering Act, 2002. These new regulations are applicable to distributors registered under AMFI as well as persons who wish to invest in Mutual funds.

a. KYC for investors (Know your Client)

In order to prevent money laundering and terrorist financing, strict norms were required for identifying such people who enter into financial transactions under the Prevention of Money Laundering Act, 2002. SEBI accordingly issued guidelines for financial institutions and financial intermediaries (including mutual funds) to know their clients.

Every individual who wishes to invest in a mutual fund, whether lump sum or by SIP, has to be KYC compliant. An individual has to provide personal details such as name, address, financial status, occupation and other personal information in the prescribed KYC form. Along with the same, individual investors are required to produce proof of identity and proof of address, as prescribed, in the form. Non-individual investors are required to produce documents relating to its constitution/ registration to fulfil the KYC process.

A centralized platform has been carved out to carry out the KYC procedures across all market intermediaries. Various Points of Services (PoS) have been provided where the KYC application forms along with the verification documents are accepted and the KYC acknowledgement is provided to the investor. Once the KYC procedure is duly completed in all regards, the investor needs to produce a copy of the acknowledgement when investing for the first time with a mutual fund or any other market intermediary.

KYC is mandatory for all investors (individuals and non-individuals) in a mutual fund scheme, irrespective of the amount invested. In case of joint applications for a fund, all the joint holders need to be KYC compliant. For investments by a minor, the Guardian should be KYC compliant. The minor, upon attaining majority, should immediately apply for KYC compliance in his/ her own capacity and intimate the concerned mutual funds. Investors who wish to invest through a Power of Attorney (PoA) holder have to ensure that both the investor and the PoA holder should be KYC compliant.

b. KYC Registration Agencies

SEBI has issued the KYC Registration Agency Regulations, 2011 in exercise of the powers conferred under the SEBI Act.

Under the said Regulations, a KYC Registration Agency (KRA) is a company formed and registered under the Companies Act, 2013 and which has been granted a certificate of registration under the Regulations.

The KRA shall obtain the KYC documents of the client from the intermediaries. The KRA maintains the KYC records of an investor centrally, on behalf of the capital market intermediaries registered with SEBI. It is also responsible for retaining the original KYC documents of investors in both physical and electronic form for the prescribed period.

KRA accepts the KYC forms and documents pertaining to proof of identity and proof of address received from intermediaries. It scans, digitalizes the documents and thereafter issues acknowledgements/ conveys rejections to the investor.

c. KYD for distributors (Know your Distributor)

Under SEBI's advice, AMFI had to review the existing registration procedure for mutual fund distributors and initiate necessary action to strengthen the same to ensure correctness of information furnished in the registration application and also to have in person verification of the ARN holders.

AMFI has therefore introduced the Know Your Distributor (KYD) process for the mutual fund distributors with effect from September 1, 2010. The KYD procedure consists of document verification and Bio-metric process. Every mutual fund distributor is therefore required to apply for KYD simultaneously along with application for registration of the ARN code.

The KYD norms is similar to the KYC norms for investors, requiring the distributors to submit identity proof, address proof, PAN and bank account details with proof for verification.

AMFI has engaged Computer Age Management Services Ltd. (CAMS) to carry out the KYD process through their centres across the country. Once the said process is done, the distributor would have to obtain the acknowledgement from CAMS confirming the completion of the KYD process.

12.7. Ethical Issues in providing Financial Advice

Financial Intermediary – a Perspective

The main role of a financial intermediary is channelizing the domestic savings into various investment vehicles available. On the one hand the intermediary helps the issuer in mobilizing resources for development/implementation of projects while on the other hand he helps the investor obtain a reasonable return on his investment. In the Indian financial market, there are many products with complexities which the common man/the small investor may not understand. It is the financial intermediary who should take the most suitable product to the retail investor that would serve the needs of the investor best and help in fulfilling his financial goals. The intermediary plays a key role in the successful achievement of financial goals of many Indian families.

The financial intermediary should realize that he would be very successful if he focuses on his clients and the clients' needs rather than on his own needs. It would be useful for the intermediary to keep in mind this following very famous quotation of Zig Ziglar, the world renowned corporate motivator: *"You can have everything in life you want; if you will just help other people get what they want".*

The intermediary many times works on targets and goes about selling financial products aggressively to achieve the targets with in a time frame. While doing this sometimes the suitability of the product to the investor is lost sight of. The investor should be centre of the activity and his interest should be uppermost in the minds of the advisors. It is important for the advisor/intermediary to nurture and take care of the financial well-being of his clients to reap long term benefits.

The main problems/investor grievance areas in the advisory business can be highlighted as under:

1. Advisor's lack of focus on understanding client specific situations so as to provide appropriate advice.
2. Advisors' lack of understanding of the financial product which he is selling
3. Advisors' lack of information about overall market and other available financial products
4. Adopting wrong practices like frequent switching from one product to another to increase earnings from commissions.
5. Not educating/informing the investor about risks; uncertainties about financial products that are sold, while highlighting only the good features of the product.
6. Poor after sales service

12.8. Investor Complaint redressal systems

Different regulators have developed different systems and platforms to provide a redressal mechanism to investors for grievances that they may have against market intermediaries.

SEBI has developed a centralized web based system for lodging and tracking investor complaints which is known as SCORES (SEBI Complaint Redress System). Any person, who has a grievance against a listed company (e.g. non-payment of dividend or issues related to transfer of securities) or against any market intermediary, can file a complaint using SCORES.

SCORES can accept complaint against any market intermediary that is registered with SEBI. This includes R&T Agents, Portfolio Managers, Depositories and its participants, Debenture Trustees, Credit Rating Agencies, Custodians, Stock Exchanges, Merchant Bankers, Asset Management Companies, Collective Investment Schemes, Bankers to an Issue and Brokers.

A complaint registered on SCORES is scrutinized by SEBI to determine if the subject matter falls under its purview. If it falls under SEBI's purview, it will forward the complaint to the concerned entity/intermediary, with an advice to send a written reply to the investor. The entity or intermediary also needs to file an action taken report in SCORES within a reasonable period, not later than 30 days.

Stock exchanges have been directed by SEBI to resolve disputes at their end within 15 days, failing which the conciliation process of the exchange would start. The Investor Grievance Redressal Committee shall be allowed 15 days to amicably resolve the issue. Else the IGRC will estimate the claim value, in case the claim is admissible to the investor, and the investor will be given monetary relief from the Investor Protection Fund in a phased manner, till the arbitration process opted for by the member is complete

The Insurance Regulatory and Development Authority (IRDA) have launched an online grievance redressal mechanism called the Integrated Grievance Management System (IGMS). The facility can be used to register complaints against insurers, brokers, intermediaries and others. The nature of complaints that can be registered include those relating to processing the proposal, servicing a policy and claims. Complaints against life and non-life insurers can be registered on the portal.

The National Pension System (NPS) has a multi-layered Grievance Redressal Mechanism. An NPS subscriber who is not satisfied with the services offered, or has any other grievance, can lodge his compliant using the Central Grievance Management System (CGMS) for complaint resolution and grievance redressal for NPS subscribers.

Customers of banks who face a deficiency of service can apply to the banking ombudsman for redressal under the Banking Ombudsman Scheme of the RBI. The scheme covers customers of scheduled commercial banks and primary cooperative banks if their complaints are not addressed by the concerned bank or if they are unsatisfied with the response of the bank.

Summary

- Any person who proposes to provide investment advice as an investment adviser shall be required to obtain a registration certificate from SEBI in order to continue to do this activity.
- The certificate of registration granted by SEBI is valid for a period of five years from the date of its issue.
- The term "investment advice" means any form of advice provided in relation to investment, purchase, sale or dealing in securities or investment products. It also includes advice on a portfolio of securities or investment products and financial planning.
- The following entities are exempt from the requirement of registration:
  - Any person who gives general comments on financial trends, economic situation which is not stock/product specific.
  - Insurance agents or brokers providing investment advice only in insurance products,
  - Pension advisors offering investment advice only on pension products,
  - Mutual fund distributor, who provides investment advice incidental to distribution of mutual fund products
  - Advocates, Solicitors, member of Institute of Chartered Accountants of India, member of Institute of Company Secretaries of India, Institute of Cost and Works Accountants of India, Actuarial Society of India or any other professional body providing investment advice incidental to their professional service.
  - Stock broker or sub-broker, portfolio manager registered under SEBI (Portfolio Manager) Regulations, 1993, merchant banker providing investment advice incidental to their primary activity.
  - Fund managers of mutual funds, alternative investment funds.
  - A person providing investment advice only to clients based out of India, not being Non Resident Indians or Persons of Indian Origin.
- An investment adviser must have a professional qualification/post-graduate degree in specified fields or a graduate degree along with 5 years experience in the specified fields. Additionally, the investment adviser shall have a certification from NISM or any other organization or institution provided that such certification is accredited by NISM.
- For investment advisers which are body corporate, net worth of not less than Rupees Twenty Five Lakhs has been stipulated rupees. Investment advisers who are individuals or partnership firms shall have net tangible assets of value not less than Rupees One Lakh.

- The Regulations require that advisers must ensure there is no conflict of interest and earn only advisory fees from the clients. They must maintain confidentiality of investors' transactions.
- The adviser shall comply with all rules in force such as the KYC norms and abide by the code of conduct.
- The adviser shall use tools to profile the investor's risk and recommend products that are aligned to it.
- They shall maintain records in the form and for the period required by the Regulations.
- The Regulations expect the advisers to be honest and fair in their dealing with the clients, collect and use relevant information and make adequate disclosures to the clients, avoid conflict of interest and comply with all regulations.
- The ministry of finance through the departments of economic affairs, expenditure, revenue, financial services, disinvestment and company affairs, regulate and control all aspects of monetary and fiscal policy, financial products, institutions and markets.
- RBI is the central bank of the country and is vested with the responsibility of administering the monetary policy. It is the monetary authority, regulator of the financial system, issuer of currency, manager of foreign exchange and acts as a banker of the government.
- SEBI is the regulator of capital markets in India and is responsible for registering and regulating the entities and their activities.
- IRDA's mission is to regulate, promote and ensure orderly growth of the insurance sector.
- The Pension Fund Regulatory and Development Authority (PFRDA) bill was passed in Parliament and became an act in 2013. This has given statutory power to PFRDA as regulator of the pension sector in the country.
- An SRO is a regulatory authority of an industry, appointed by the regulator to perform specific functions. SRO in India is governed by the SEBI (Self Regulatory Organizations) Regulations, 2004. An SRO is an organization of intermediaries which represents a particular segment of the securities market and which is duly recognized by SEBI.
- The Prevention of Money-Laundering Act, 2002 (PMLA), is an act to prevent money-laundering and to provide for confiscation of property derived from, or involved in, money-laundering and for related matters.
- Code of Conduct for the intermediaries in the advisory and distribution business is prescribed by the regulators such as SEBI and IRDA and industry associations such as AMFI.

Sample Questions

1. **Which of the following persons is expected to comply with registration requirement under SEBI (Investment Advisers) Regulations, 2013:**
   a. Fund Manager of an AMC
   b. A distributor of a mutual fund who only receives commission from the AMC.
   c. **An IFA who charges advisory fees to investors**
   d. A Chartered Accountant practicing his profession

2. **The minimum tangible assets to be maintained by an individual investment adviser are Rs. _______.**
   a. **1 lakh**
   b. 25 lakhs
   c. 5 lakhs
   d. 10 lakhs

3. **Registration and regulation of securities market intermediaries is the function of _____.**
   a. AMFI
   b. **SEBI**
   c. PFRDA
   d. SRO

4. **A person who has a complaint against an insurance company must lodge his complaint with___.**
   a. SCORES
   b. **IGMS**
   c. CGMS
   d. RBI